

GLOBAL TRADE FINANCE

Standby Letters of Credit

Why SBLCs Are the Trust Engine Behind International Trade

An overview of how standby credit instruments reduce counterparty risk, unlock financing, and keep cross-border trade moving.

What Is a Standby Letter of Credit?

A Standby Letter of Credit (SBLC) is a bank-issued guarantee of payment. Unlike a commercial letter of credit, it is designed as a backstop: the issuing bank only pays the beneficiary if the applicant fails to perform or pay as agreed.

- **Issued by a Bank**

A regulated financial institution stands behind the applicant's obligation.

- **Pays on Default**

Funds are drawn only if the applicant fails to meet the underlying contract.

- **Governed by Rules**

Most SBLCs follow ICC rules such as UCP 600 or ISP98.

THINK OF IT AS

“An insurance policy on a promise.”

If the seller delivers and the buyer pays as agreed, the SBLC is never drawn. It only activates when something goes wrong — which is exactly why it builds confidence between parties who may have never worked together before.

THE CORE PROBLEM

Cross-Border Trade Runs on a Trust Gap

Exporters and importers rarely know each other well, operate under different legal systems, and can't easily enforce a contract across borders. That gap creates two mirrored fears on either side of every deal.

The Seller's Fear

“Will I ship the goods and never get paid?”

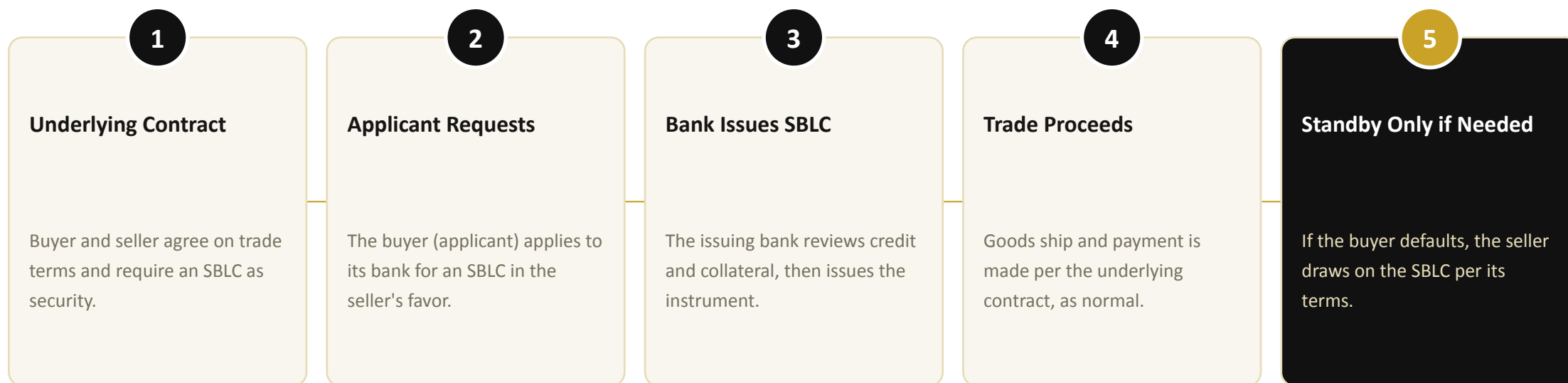
The Buyer's Fear

“Will I pay in advance and never receive the goods, or receive goods that don't meet spec?”

THE SBLC SOLUTION

A bank guarantee substitutes the counterparty's uncertain promise with a regulated institution's payment commitment — closing the trust gap without either side having to simply take the other's word for it.

How an SBLC Moves Through a Trade



Standby vs. commercial LC: an SBLC is a fallback if something goes wrong — not the primary payment mechanism for the trade.

Standby LC vs. Commercial LC

	STANDBY LC (SBLC)	COMMERCIAL LC
Primary purpose	Backstop / security if something goes wrong	Primary method of payment for the trade
Typically drawn	Rarely — only on non-performance or default	Routinely — as the standard settlement path
Common use	Performance, advance-payment, financial guarantees	Payment for goods against shipping documents
Governing rules	ISP98 (or UCP 600)	UCP 600

Why Sellers Ask for an SBLC

Payment Certainty

Replaces reliance on the buyer's promise with a bank's payment obligation.

Stronger Negotiating Position

Enables open-account or deferred terms the seller might otherwise refuse.

Bankable Collateral

The guaranteed receivable can itself support financing or factoring.

Entry Into New Markets

Lowens the risk of trading with unfamiliar buyers in higher-risk jurisdictions.

Why Buyers Accept — and Even Prefer — an SBLC



No Upfront Cash Tied Up

Unlike a cash deposit, the SBLC uses the buyer's bank credit line rather than working capital.



Negotiating Leverage

Offering an SBLC can secure better pricing or terms from an untested supplier.



Only Pays If Something Goes Wrong

Funds move only on documented non-performance — not as a routine cost.



Signals Creditworthiness

A bank's willingness to issue the SBLC is itself a credibility signal to the seller.

Built on Internationally Recognized Rules

SBLCs aren't ad hoc arrangements. They operate within rulebooks maintained by the International Chamber of Commerce, giving banks and trading parties in different countries a shared, predictable set of expectations.

ISP98

International Standby Practices

The purpose-built rulebook for standby letters of credit — covering demand requirements, expiry, and examination standards.

UCP 600

Uniform Customs & Practice

Originally for commercial LCs; still widely used to govern SBLCs when parties choose it instead of ISP98.

Local Banking Law

Domestic Regulation

Each issuing bank still operates under its home jurisdiction's banking, AML, and sanctions requirements.

Common Use Cases Across Trade

1

Performance SBLC

Guarantees a contractor or supplier will complete the work or delivery as specified.

2

Advance-Payment SBLC

Protects a buyer's deposit if the seller fails to deliver after receiving prepayment.

3

Financial SBLC

Backs a payment obligation directly, such as a loan repayment or lease commitment.

4

Bid-Bond SBLC

Assures a project owner that a winning bidder will honor its tender if awarded the contract.

Real Instrument, Real Diligence

SBLCs are powerful precisely because they carry a real bank's credit. That value has also made the space a target for schemes offering “bank instruments” outside any real banking relationship. A few checks protect both sides of a legitimate deal.

Verify the issuing bank directly

Confirm the SBLC — and its terms — with the bank itself, using contact details you source independently, not ones provided by the counterparty.

Be wary of unusual face values

Legitimate instruments are sized to an actual underlying contract, not offered off a menu of round, oversized denominations.

Insist on named terms

A genuine offer references a specific applicant, beneficiary, amount and governing rules — not indicative ranges.

Use independent legal and banking counsel

Especially for first-time counterparties or large-value transactions.

Where Standby Trade Finance Is Heading

Digitization

Electronic presentation of documents and digital SBLC issuance are steadily replacing paper-based processes.

Faster Bank Turnaround

Digital KYC and credit review are shortening the path from application to issuance.

Greater Scrutiny

Sanctions screening and AML checks continue to tighten across the correspondent banking network.

SME Access

Trade-finance platforms are working to extend standby instruments beyond large corporates to smaller exporters.

THE TAKEAWAY

SBLCs Don't Move Goods. They Move Trust.

In a marketplace where buyers and sellers may never meet, a standby letter of credit lets two strangers trade with the confidence of two long-time partners — backed not by a promise, but by a bank.

Thank you